

Part Three

Company Analysis

At the final stage of fundamental analyses, the investor analysis the company. This analysis has two thrusts:

- How has the company performed *vis-a-vis* other similar companies; and
- How has the company performed in comparison to earlier years?

It is imperative that one completes the politico economic analysis and the industry analysis before a company is analyzed because the company's performance at a period of time is to an extent a reflection of the economy, the political situation and the industry.

What does one look at when analysing a company? There is, in my view, no point or issue too small to be ignored. Everything matters. As I had mentioned earlier, the billionaire Jean Paul Getty, one of the most successful stock market operators of all time, said, "Do not buy a stock until you know all about it."

The different issues regarding a company that should be examined are:

- The Management
- The Company
- The Annual Report
- Ratios
- Cash flow.